AUDIT & ASSURANCE

May - 2026

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. a) Ajmol & Partners, Chartered Accountants, a partnership firm comprising three partners provides audit services to a diverse portfolio of clients operating across various industrial sectors, generating a broad range of fee income. An audit partner of Ajmol & Partners has delegated the audit planning responsibilities for TFL Ltd. (TFL) to you, in your capacity as Audit Senior. TFL is engaged in the provision of mobile communication services, and this engagement represents the second consecutive year in which the firm has acted as the company's external auditor.

During a recent preliminary meeting held prior to the renewal of the engagement letter, the Finance Director (FD) of TFL explained that the company has continued to experience rapid growth. As a consequence, the organisation's financial accounting systems have undergone significant and frequent changes, making it increasingly challenging to maintain effective internal control procedures. In response to these developments, TFL has requested additional professional services from Ajmol & Partners relating to the review, evaluation, and implementation of internal control systems.

The FD also advised that TFL has recently established an internal audit department. Management has requested that the external audit team seek to place appropriate reliance on the work performed by the internal audit function in order to minimise duplication of audit procedures and improve audit efficiency.

In addition, it was disclosed that TFL is in the process of developing and marketing a new model of mobile phone capable of intercepting communications transmitted by the emergency services. The legal and regulatory status of this product remains uncertain at present, and due to the sensitive nature of the development, details of the project have not been made public.

Furthermore, the award of the franchise rights to market this new mobile telephone product is contingent upon the financial stability and viability of TFL. The FD indicated that Ajmol & Partners may be requested to provide an independent assurance report to the prospective franchiser regarding TFL's cash flow statements for 2025 and cash flow forecast for the financial year ending 30 June 2026 in support of the franchise application.

Requirement:
As part of risk assessment procedures for the audit of TFL Ltd. for the year ending 30 June 2025, analyse the issues to be considered when providing services to this client. 9

b) "The Engagement Quality Review (EQR) is a different process from the internal reviews that take place on every audit engagement. The EQR is a requirement for every audit of public interest entities. In other cases, the audit engagement partner may determine as such, for example, to have an ethical safeguard."

Requirements:
i) What are the criteria for appointment of the Engagement Quality Reviewer? 3
ii) What is the cooling off period for engaging a past engagement partner to perform as the Engagement Quality Reviewer? 2

2. a) Rahman Karim & Co., Chartered Accountants, is a mid-tier firm in Dhaka that has recently been trying to move into higher-profile listed assignments. The managing partner receives a call from the chairman of Prime Capital Holdings PLC, a listed investment and merchant banking group with significant exposure to unquoted shares, margin-loan clients and sponsor-linked private placements. The call comes only three weeks before the year-end. The chairman says the previous auditors resigned because they had limited knowledge about investment companies, and the company needs a firm that understands the commercial realities of Bangladesh's capital market.

At the preliminary meeting, the finance director explains that the group's investment portfolio has performed strongly despite a generally weak market. A number of unquoted investments have been valued using management-prepared cash flow forecasts. You notice that several investee companies have common directors with Prime Capital's sponsors. The finance director says that full details can be provided later, but the audit must be completed quickly because the annual

general meeting cannot be delayed again. He adds that the audit fee will be higher than the firm's usual fee for a listed entity if the report is signed within the proposed timetable.

Before the meeting ends, you discover that your firm's tax department recently advised one of the sponsoring directors on a family-owned overseas holding structure. A senior audit partner also mentions informally that he has known the CFO socially for many years and believes the CFO is "not the type to mislead auditors". No professional clearance letter has yet been received from the predecessor auditor, and the board has requested that your firm start planning immediately while the formalities are being completed.

Requirements:

i) Critically evaluate the ethical, independence and professional risks that should influence the acceptance decision. 4

ii) Recommend realistic safeguards and acceptance procedures that should be completed before any fieldwork begins. 4

iii) Conclude whether the engagement should be accepted, deferred or declined, giving reasons that could be defended to a regulator. 4

b) A series of failures in banks, non-bank financial institutions and listed companies in Bangladesh has led to public criticism of statutory auditors. Television discussions and newspaper columns claim that auditors failed as gatekeepers because irregular loans, weak governance and poor disclosures were not always highlighted before entities collapsed or required regulatory intervention. Audit firms respond that an audit provides reasonable assurance, not a guarantee, and that management and those charged with governance remain primarily responsible for financial statements and internal control.

Requirements:

i) Explain the audit expectation gap in the above context. 2

ii) State practical actions by regulators and auditors that could help rebuild public confidence. 2

3. a) During the course of your audit of Rooftops Ltd, the sales incharge was unable to provide you a satisfactory clarification against recording of a collection. At the time of discussion, he also tried to make you understand that the Chief Accountant was misappropriating funds collected against sales by altering the books.

Requirement:

Explain the steps you would take to assess whether the sales incharge's clarifications about the Chief Accountant were reasonable. 6

b) You are the auditor of Jog Ltd for the year ended 30th June 2024. The annual turnover of the company is more than BDT 1,500,000,000. After one year of submission of audit report, one of the regulators identified that during the month of May 2024 sales revenue recorded by the company in the accounting book was BDT 126,523,400 but in the same month sales revenue was shown in the VAT return BDT 126,901,900 resulting sales revenue recorded in the accounting book less by the amount of BDT 378,500. The regulator wanted clarification from you saying that nothing was mentioned in the audit report in this regard.

Requirement:

How will you consider the clarification wanted by the regulator? 6

c) XYZ Ltd is a public limited company where more than 50% of shares are held by the State. You have been appointed as new auditor of the company. During the course of audit, you observed that a substantial amount of fixed deposit was maintained with one of the State-Owned Commercial Banks. As a part of audit, you wanted to physically verify the documents of fixed deposit and send a letter to the bank for balance confirmation. The management of the company informed that previously auditors did not physically check the documents of fixed deposit and no balance confirmation letter was sent believing that the company would follow the government regulations, leaving no scope of irregularities.

Requirement:

What will be your position to verify the genuineness of fixed deposit? What are the reasons for which you don't want to rely on the statement of the management? 8

4. a) Your firm, for the first time has been appointed auditor of Wrapper Ltd. You are one of the members of the engagement team. According to the policy of the quality assurance department of the firm your work will be reviewed by a qualified senior before the file is passed on to the manager.

Requirement:

What would you expect him to consider as a part of his review? 6

b) You are almost at the end of your audit field work with tight deadline. According to the firm's policy the manager is expected to visit the client tomorrow, but you need to leave the client office early due to some medical treatment issue of your close family members despite having some verification work pending. As an alternative you are thinking to take the sales ledger and bank book home with you to finish the receivables section ready for the manager to review.

Requirement:

Explain which issues you must consider before moving any document of the client out of their office. 7

c) Your firm has recently introduced a new system of quality management. Your head of quality assurance department (QAD) has been asked by the primary regulator of the profession to brief about the newly introduced system. The Head of QAD of your firm has asked you to prepare a list of benefits of the system of quality management in the firm, which can be used as a part of QAD Head's presentation.

Requirement:

Prepare a list as desired by the Head of QAD. 7

d) GreenHarvest Foods Ltd is an agro-processing company based in Bogura that buys vegetables and seasonal fruits from contract farmers and sells processed goods to local supermarkets and export customers. During the year, management presented the company as a national success story because it obtained several export orders and negotiated a major refinancing package with a commercial bank. The loan agreement requires GreenHarvest to maintain minimum profit and current ratio thresholds at year-end.

During planning, the audit senior notices that revenue in the final two months increased sharply, although dispatch records from two cold-storage locations appear incomplete. Inventory has also doubled, but the warehouse manager explains that the company is merely 'building strategic buffer stock' for future export orders. A newly recruited internal auditor privately tells your team that some slow-moving stock was repacked and re-labelled rather than written down. The ERP inventory module was not fully implemented; production staff maintained manual spreadsheets for part of the year and the finance team later uploaded summary adjustments.

Management is cooperative but repeatedly reminds the audit team that the company's reputation and bank support depend on timely audited financial statements. The finance director suggests that the audit should not over-focus on small documentation issues because the company operates in a practical rural supply chain where paperwork is sometimes imperfect.

Requirements:

i) Identify and prioritise the key audit risks, linking each risk to relevant financial statement assertions. 5

ii) Design audit responses that demonstrate professional scepticism and explain where management's explanations should be challenged. 5

5. Eastern Textiles Ltd is a DSE-listed garment exporter. During the year, two major European customers cancelled orders following quality and delivery disputes. The company has delayed supplier payments, negotiated short-term extensions with banks, and reduced overtime shifts at its Gazipur factory. Management has prepared cash flow forecasts showing that the company will return to positive cash flows within nine months. The forecasts assume that three new buyers will place confirmed orders, although only preliminary emails and sample approvals are currently available.

The draft financial statements include a note stating that the directors believe the company remains a going concern because Bangladesh's export market is expected to recover and negotiations with lenders are continuing. The note discloses liquidity pressure but does not clearly explain the dependence on new buyers or the uncertainty over bank support. Last year's audit report included an emphasis of matter paragraph in relation to uncertainty in export receivables, but the prior year accounts were not modified.

The audit partner believes that a modified opinion may damage the company's ability to negotiate with banks. The engagement quality reviewer disagrees and asks for a clear technical conclusion on whether the disclosure is adequate and whether the matter should be treated as a Key Audit Matter, an Emphasis of Matter, a Material Uncertainty Related to Going Concern section, or a modification.

Requirements:

a) Evaluate the adequacy of management's going concern assessment and related disclosure. 5

b) Explain the audit work required before concluding on going concern. 5

c) Recommend the appropriate audit opinion/reporting treatment under the likely alternative outcomes. 6

d) Distinguish the use of Key Audit Matter, Emphasis of Matter and Material Uncertainty Related to Going Concern sections in this case. 4

---The End---